

Reversal (R), continuation (C) occurrence. The extended V-top acts as a reversal most of the time, especially in bull markets. Because we know the breakout is downward, a reversal means the inbound price trend is upward. An extended V-top behaving as a continuation pattern would appear in a downward inbound price trend. Pop quiz: Which performs better, reversals or continuations?

Reversal/continuation performance. The answer doesn't really matter. The numbers are too close to worry about. However, patterns acting as continuations give a slight edge, based on what I found.

Average decline. The average decline is terrific in bear markets, but that's to be expected. If a rising tide lifts all boats in bull markets, then a falling tide sinks all boats. I know that doesn't sound right, but my point is that you'd expect to see downward breakouts in bear markets have larger declines than do those in bull markets.

Table 72.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,217	334
Reversal (R), continuation (C) occurrence	68% R, 32% C	55% R, 45% C
Reversal, continuation performance	−18% R, −19% C	−25% R, −26% C
Average decline	−18%	−26%
Standard & Poor's 500 change	−2%	−9%
Days to ultimate low	45	42
How many change trend?	37%	56%

Standard & Poor's 500 change. Measuring the performance of the S&P index using the same hold time (from breakout to ultimate low), we see the index underperforming the extended V-top. I can't recall the S&P ever beating the performance of a chart pattern, but I'm also not sure it's a fair measure.

Why? I think it's like comparing the performance of a professional marathon runner with an amateur. You'd expect the professional to win